Virtual Mind Holding Company Limited
天機控股有限公司

(incorporated in the Cayman Islands with limited liability)
(Stock Code: 1520)

SUPPLEMENTAL ANNOUNCEMENT IN RELATION TO SHARE SUBSCRIPTION FACILITY AGREEMENT RELATING TO SUBSCRIPTION OF SHARES AND ISSUE OF WARRANTS

Reference is made to the announcements of Virtual Mind Holding Company Limited (the "**Company**") dated 29 August 2025 and 5 December 2025, respectively, (the "**Announcements**") in relation to the share subscription facility agreement (the "**Share Subscription Facility Agreement**") entered into between the Company, the Investor and GYBL on 29 August 2025 relating to, among others, the Share Subscription and issue of Warrants. Unless defined otherwise, capitalised terms used herein shall have the same respective meanings as those defined in the Announcements.

The Board would like to provide supplemental information as follows in relation to the Share Subscription and issue of Warrants.

FURTHER INFORMATION ON THE REASONS FOR THE SHARE SUBSCRIPTION AND THE ISSUE OF WARRANTS AND USE OF PROCEEDS

Further Information on Reasons for the Share Subscription and the Issue of Warrants

The Group's current operations remain largely traditional, following a traditional model of "IP licensing — product design and development — outsourced manufacturing — sales." To stay competitive and drive growth, the Group recognizes the need for technological empowerment to upgrade this model. While actively pursuing business expansion, the Group continues to position itself as an "IP service provider," with its core processes rooted in the aforementioned model, complemented by offline promotional marketing and membership engagement services.

The business expansion will be built upon the existing business model by incorporating technology enablement, including but not limited to: (1) during the IP product design and development process, (i) applying Web3 blockchain technology to bring IP products "on-chain" and create a unique, tamper-proof and traceable digital identity for each IP product; and (ii) utilizing AI and VR technologies to achieve product digitalization (e.g. when users scan IP products, such as collectible sports cards, using a mobile application, the interface may display videos or animations and even enable real-time interactive engagement with users); and (2) during the provision of offline promotional marketing and membership engagement services, leveraging Web3 and AI technologies to empower marketing and membership engagement activities, such as membership identity management "on-chain" and AI-powered data analytics which produces business insights that in turn drives more targeted promotional marketing .The above-mentioned services will be add-ons to our existing IP services and only be provided to owners or licensees of such IPs.

Such technology applications are expected to ensure authenticity, traceability and standardized ownership of IP products to achieve secure digital IP management, addressing piracy and counterfeit issues through technological solutions, while bringing more fun to IP products and strengthening user engagement and loyalty, thereby further unleashing and elevating the intrinsic value of such IPs.

Further Information on Use of Proceeds of the Share Subscription and the Issue of Warrants

The Company intends to use the net proceeds from the subscription of the Warrant Shares as follows (assuming the Warrant Shares are fully subscribed and the maximum net proceeds are raised therefrom (after deduction of related expenses)), which are expected to be approximately HK$60,000,000.

(i) Approximately 16.6%, or HK$10,000,000, will be used for proceeding with projects that have been validated as feasible for expanding existing business, such as existing sports-related IP projects (including the La Liga club* (西甲俱樂部) project, which focuses on development and design of La Liga club-related physical and digital IP products, as well as various promotional marketing and membership engagement activities such as IP-themed street experience). Such projects aim to, leveraging Web3 and AI technologies, dig deeper into our robust strategic partnerships and cooperations with multiple globally renowned brand owners or agents;

(ii) Approximately 41.7%, or HK$25,000,000, will be used for proceeding with IP licensing arrangements with high potential to deliver attractive returns on investment in consumer sectors such as culture, sports, tourism, healthcare and wellness. The Company is currently in the process of seeking and evaluating such collaboration opportunities. As of the date of this announcement, no specific IP licensing arrangement had been located; and

(iii) Approximately 41.7%, or HK$25,000,000, will be used for general working capital purposes, such as expansion of our in-house business operation team undertaking financial, investor relations, marketing and daily operational roles.

Reference is made to the announcement of the Company dated 5 December 2025 in relation to the Share Subscription Facility Agreement relating to, among others, the Share Subscription and issue of Warrants.

The Company intends to issue the Subscription Shares in tranches over the next three years under the Share Subscription Facility Agreement and will seek prior Shareholders' approval for each tranche based on the number of Subscription Shares to be issued. Upon serving a Subscription Notice on the Investor, the Subscription Shares will be issued either under the then-available General Issue Mandate if the Subscription Price meets the requirements under Rules 13.36(2)(b) and 13.36(5) of the Listing Rules, or under a specific mandate to be obtained from Shareholders if such requirements are not met or no General Issue Mandate is available.

Details of use of proceeds of the Share Subscription will be determined and disclosed as and when appropriate in accordance with the Listing Rules.

By order of the Board
Virtual Mind Holding Company Limited
Mei Weiyi
Chairman and Executive Director

Hong Kong, 24 December 2025

As at the date of this announcement, the executive Directors are Mr. Mei Weiyi, Mr. Li Yang, Ms. Tin Yat Yu Carol and Mr. Wong Wai Kai Richard; the non-executive Directors are Mr. Zheng Kaixin and Ms. Kot Mui; and the independent non-executive Directors are Mr. Tang Shu Pui Simon, Mr. Hon Ming Sang and Mr. Cheung Pak To, BBS.